

Rebooting Tech Mahindra



The change of guard at the top at Mahindra group IT services company Tech Mahindra is significant in more ways than one. It gives TechM an opportunity to chart out a fresh course of action and a new strategy for growth. The company does need more than a good dose of new energy. While it is the only IT company other than TCS from the House of Tata that is part of a large, diversified conglomerate, the \$6.5-billion TechM has so far not been seen in the same league as majors like TCS and Infosys. In fact, on the margins front, it has lagged significantly, with its margins being between 9-12%, while Infosys (16-19%), TCS (18-21%) and even LTIMindtree (over 15%) fare much better.

Enter new CEO & MD Mohit Joshi, an Infy veteran, and winds of change are already blowing across TechM's corridors. Having had a smooth transition thanks to his predecessor C.P. Gurnani, a TechM veteran, Joshi is now all charged up to ensure his new growth strategy begins working for the company. A key strength for TechM is its synergies with the other parts of the \$21-billion Mahindra group, and Joshi intends to leverage it to the fullest. Whether it is by way of use cases in auto through the group's massive auto business or in financial services through Mahindra Finance, there's enough to play around with. Besides, being part of a large conglomerate allows it to draw on talent from within the group as well. In our cover story, Joshi spells out his growth strategy for TechM to *Krishna Gopalan* and explains how he intends to make the most of the artificial intelligence (AI) opportunity. "AI is a very big story and takes me to how banks adapted over time. In 2000, they spent 1% of their spend on technology and now, that is at 10%. With AI, it is not hard to imagine [the spend] being 50% 10 years from now. That dramatic reprioritisation is our opportunity," Joshi says. TechM observers feel that Joshi and his team will need to institutionalise changes to structure and culture, create new advantages, and have a clear differentiator vis-à-vis competition. How the new CEO does that will be interesting to watch.

Elsewhere in this issue, *Surabhi* brings you a ground report on the state of India's micro, small and medium enterprises (MSMEs) and the problems and obstacles they continue to face. Having been crippled by the pandemic, MSMEs are now witnessing uneven growth with some sectors recovering and others struggling. Multiple compliances and issues relating to financing and technology continue to plague India's MSMEs, which contribute as much as 30% to the country's GVA and 36% to its manufacturing output. While the government is mindful of the problems and has taken steps to ameliorate them, much more needs to be done if the MSME space is to become a key engine of growth. **BT**

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